dominant powers will exercise their outside options and employ other forms of informal power to get their way, sometimes on their own and in other cases in common endeavors, as discussed in Chapter 1. The dominant members are the only powers that are simultaneously "rule-makers" and "privilege-takers."[48] Second, although club dynamics may feature lobbying and horse-trading forms of coalitional bargaining, other members face the option of remaining or exiting, but they cannot veto or bind their respective hegemons when their interests are strong.

The Chinese Colossus Is No Longer Emerging: China Has Emerged and Continues to Rise

The fast-growing Chinese economy is the anchor for the BRICS, despite a slowing of its annual rate of growth since 2011 to around 6.5 percent. China provides the glue for the BRICS to hang together, both because of its resources and its increasingly overt ambition to challenge and reform the incumbent global economic governance system that has discounted its preferences and potential influence.

In the late 1970s, China was one of the poorest countries in the world, with a real per capita GDP that was only one-fortieth of the average U.S. income and one-tenth of Brazil. From 1980 to 2010, China grew at an average rate of 10 percent a year, and its real per capita GDP rose about 8 percent per annum.[49] China's growth miracle has been extraordinary in scale and pace, achieving a doubling in output per person in 12 years and having a current real per capita GDP roughly equivalent to Brazil's. China has more than 20 percent of the world's population, yet it still grew 10 times faster than, and at 300 times the pace of, Britain's Industrial Revolution, which took 150 years to accomplish.[50] Now the World Bank categorizes China in the ranks of upper-middle-income countries, along with Brazil, Mexico, and South Africa.[51]

China's rapid growth was propelled by market-oriented reforms from the last 30 years. Accession to the World Trade Organization (WTO) in 2001 further opened the Chinese economy to the world and dramatically increased the level of productivity, including in the rapidly expanding nonstate sector of the economy.[52] The share of state-owned enterprises (SOEs) in industrial output has steadily declined, from 78 percent in 1978 to 26 percent in 2011, as the vibrant private sector of the economy has steadily expanded.[53] According to Nicholas Lardy, between 2010 and 2012, the Chinese private sector produced roughly two-thirds to three-quarters of China's GDP, despite having a low share of resources.[54]

Strong growth in investment and infrastructure was one of the engines of China's acceleration, but primarily as a follow-on, not a precursor to the large upswing in total factor productivity (TFP) since 1978. When China's reforms started, its aggregate TFP was below 3 percent of the U.S. level and still further from the production possibility frontier. By comparison, both Japan and South Korea were already at 56 and 43 percent of the U.S. level, respectively, when they began their comparable growth spurts. The fact that China was still only at 13 percent of the U.S. level after 30 years of rapid productivity growth suggests that it still has catch-up growth potential, and continued economic reforms could propel China's extraordinary growth for many more years.[55]

China and the BRICS: Slowing and Becoming Lopsided

China's growth has slowed for the last few years, and more important, the composition of growth is changing with more than half of GDP in the services sector, as a new equilibrium is sought. This is what is behind China's new normal (*xin chang tai*). Consumption is growing slightly faster than investment, with disposable income growth of more than 6 percent annually.[56] Moreover, China's current account and trade surpluses have declined from their heights in 2007.[57] According to Premier Li Keqiang, "The new normal means . . . a farewell to the unbalanced, uncoordinated, and unsustainable growth model."[58] However, this "new normal" is accompanied by an array of structural problems and risks, including massive misallocation of capital and declining productivity stemming from state ownership of banks and mismanagement of state-owned firms, high local currency indebtedness, volatile financial and real estate markets, local-federal dysfunctionalities, and governance issues that require revisions in the role of the state in the economy and the financial system.[59] One of the major risks concerns the quadrupling of China's total domestic debt burden, which according to McKinsey, rose from $7 trillion in 2007 to $28 trillion by mid-2014, amounting to 282 percent of GDP, declining slightly in 2016 to about 258 percent of GDP.[60] Corporate debt alone (accumulated mainly by SOEs) may have reached 150 percent of GDP by 2016. Many experts believe that China has the policy space and adequate reserves to avoid a full-blown crisis, but the potential costs are growing.[61]

Moreover, the BRICS club itself is becoming increasingly lopsided, at least in the medium run. As shown in Figure 2.4, what is true about China with respect to an unavoidable tapering of growth applies even more to the